

CHAPTER 8

Designing Your Own Financial Plan

‘Some people want it to happen, some wish it would happen, others make it happen.’

—Michael Jordan, basketball legend¹

Throughout this book, we have sought to spell out relatively low-risk, high-return investment methods and highlighted the traps you need to avoid both with respect to your life goals and with regard to your financial objectives. It is important to link your investment style with your financial objectives; otherwise you will end up either taking unnecessary risks or undershooting your financial goals. The essential link between your investment style and your financial objective is made through financial planning.

In this chapter, we have focused entirely on how to carry out a financial plan effectively for yourself. While it is always beneficial to conduct this exercise with a sound financial adviser (like Nikhil Banerjee did for Mr Talwar and Mr Sanghvi), our endeavour is to leave you with enough expertise and tools to create a plan for yourself. Our approach has been inspired, in part, by the work done in this area by Ashvin B. Chhabra in his book, *The Aspirational Investor*.

We have made the Ambit Financial Planning Tool freely available at www.ambit.co/fp/ambitfp.xlsm. This tool helps you build your own financial plan with the help of basic information like your **annual cash flows** (primarily your income and expenses), your **liabilities** (primarily the loans you have taken), your **assets** (including your house, shares, mutual fund portfolio and any other investments you have made) and most importantly